

eration. However, the aforementioned provisions shall not apply in specified circumstances, one of them being a monetary gift received by an individual on the occasion of marriage,” says Surana of RSM India.

But gifts received on occasions other than marriage or wedding anniversaries are taxable if received from people who are not close relatives as defined under the I-T Act.

“In a scenario where the transfer of funds is in connection with an agreement to live apart, then the income earned from such transferred money is taxable in the hands of the transferor,” says Sudhakar Sethuraman, Partner at consultancy Deloitte India.

Apart from gifts, transferring money to a spouse’s account to support their financial needs can also help save taxes. But there should be a proper loan agreement between the spouses.

For instance, money given to start a business venture could be treated as a loan if it’s expected to be repaid with interest.

Prabhakar of Shree Tax Chambers says, “If the husband loans money to his wife to start a small or medium business, the income earned from that business does not get clubbed with the husband’s income for tax purposes.” However, if the husband waives the interest component while giving the loan, the income will get clubbed with his income.

Another money saver is a joint home loan. A couple can avail of deductions up to ₹4 lakh on interest paid on a home loan (₹2 lakh each). In addition to that, they can avail deductions of up to ₹3 lakh on the repayment of the loan’s principal (₹1.5 lakh each under Section 80C). However, this option works only in cases where both the husband and wife are taxpayers.

An education loan for a spouse is also eligible for tax deduction under Section 80E of the I-T Act. The interest paid in a financial year will be allowed as a deduc-



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“GIFTING MONEY FROM AN INDIVIDUAL TO A SPOUSE’S ACCOUNT IS TAX-EXEMPT, BUT ANY INCOME GENERATED FROM THAT MONEY IS TAXABLE”



PRABHAKAR K.S.
FOUNDER &
CEO, SHREE TAX
CHAMBERS

“THE AMOUNT TRANSFERRED BY AN INDIVIDUAL TO SPOUSE TO MEET PERSONAL AND HOUSEHOLD EXPENSES IS NOT SUBJECT TO TAX IN THE SPOUSE’S HANDS”

tion. There is no limit on the deduction as such. In other words, this can be availed of even if one exhausts the Section 80C limit of ₹1.5 lakh. The benefit can be availed of for a maximum of eight years, or until the last interest is paid. It also applies in the case of joint education loans available for children’s education.

A couple can also opt for medical and family health insurance and claim a deduction of up to ₹50,000 under Section 80D for premiums paid (₹25,000 each).

“The limit is provided based on the category of persons covered in the policy and the type of payment (insurance premium, preventive health check, etc.). Married couples could each claim this benefit to the limit specified by going in for higher coverage and also by including their respective (dependent) parents in their health insurance policy,” says Sethuraman of Deloitte.

Under both the old and new tax regimes, deductions can be availed of on contributions to the National Pension System (NPS) up to ₹50,000 per person. Married

couples can contribute ₹50,000 each to the NPS, making it ₹1 lakh per annum. It is important to note that this deduction is over and above the limit of ₹1.5 lakh per individual per annum under Section 80C of the Income Tax Act.

And when it comes to children, there are also exemptions associated with education expenses. Sethuraman says, “The tuition fee paid for children’s education is allowed as a deduction under Section 80C, capped at ₹1.5 lakh per annum. If a couple is spending this amount every year on each of their two children, then each parent can claim ₹1.5 lakh as a deduction under Section 80C.”

It’s apparent that there are many legal ways of blunting the hit from taxes. But all such decisions must be taken in consultation with a tax professional. **BT**

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